Reg. No									

St. Joseph's College of Arts& Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

CM305 - CORPORATE ACCOUNTING – I

Time: 3 hrs **Max Marks: 75**

SECTION- A (10x2=20)

Answer ALL the questions

1. What is Debentures?
2. What is issue of Shares at premium?
3. What are preference shares?
4. What is Redeemable preference shares?
5. What is meant by purchase consideration?
6. What is pre incorporation profit?
7. What is dividend?
8. What is managerial remuneration?
9. What is capital reduction?
10. What is internal reconstruction?

SECTION- B (5X5=25)

Answer Any FIVE Questions

11. MM ltd invited application for 20,000 shares of Rs.100 each payable.

    Rs.25on application

    Rs.35on allotment

    Rs.40 on Call

    25000 shares were applied for .The directors accepted applications for 20,000 shares and rejected the remaining application. All moneys due were fully received. Give journal entries.

12. Sun Ltd, issued 95000, equity shares of Rs.10 each and 5000 redeemable preference shares of Rs.100 each all shares being called and paid up on 31.03.2002. profit and loss account showed undistributed profits of Rs.300000 and general reserve stood at Rs.250000. On 01.04.2002 the directors decided to redeem. The existing preference

shares at Rs.105 utilizing as much profit as would be required for the purpose. Give Journal entries.

13. Minu a small scale industrialist decided to convert his firm to a limited company with effect from 01.04.2006. But he obtained the certificate of incorporation on 01.08.2006 and the certificate to commence business on 01.10.2006. His accounts were closed on 31.12.2006. Find out the time ratio.

14. From the following particulars determine the maximumremuneration available to a full time director of a manufacturing company. The P & loss A/c of the company showed a net profit of Rs.40, 00,000 after taking into account the following items.

(i)	Depreciation (including special depreciation of Rs. 40000)	100000
(ii)	Provision for income tax	2,00,000
(iii)	Donation to political party	50,000
(iv)	Ex Gratia Payment to a worker	10,000
(v)	Capital profit on sale of assets	15000

15. K Ltd has an issued capital of Rs.5, 00,000 in 50,000 shares of Rs.10 each on which Rs.8 per share has been called up. The company now decides to reduce the share capital to share of Rs.8 each fully paid by cancelling the unpaid amount of Rs.2 per share. Pass journal entries.
16. What journal entries are passed in the books of the company for forfeiture and reissue of shares?
17. What are the conditions for redemption of preference shares?

SECTION – C (3X10 = 30)

ANSWER ANY THREE QUESTIONS

18. Gail Ltd issued 40,000 shares of Rs.10 each at a premium of Rs.2 per share. The shares were as follows.

    Rs.2 on Application

    Rs.5 on Allotment (including premium)

    Rs.5 on First & final Call

All the Shares were applied for and allotted .All moneys were received with the exception of the first and final call on 1000 shares, which were forfeited.400 of these were reissued on fully paid at Rs.8 per share. Give journal entries.

19. The Balance sheet of Gayathri Co.Ltd., as on 31.012.1997 was as followers:

Liabilities		**Abstract**	
Share capital 50000 equity shares of Rs.10 each fully paid	5,00,000	Sundry Assets Bank Balance	9,20,000 6,00,000
4000 redeemable preference shares of Rs.100 each fully paid	4,00,000		
Profit& loss A/c.	5,20,000		
Creditors	1,00,000		
Total	**15,20,000**		**15,20,000**

On the above date, the preference shares were redeemed at a premium of 10%. You are required to pass journal entries and give new balance sheet.

20. Ganga Ltd., Was registered on 01.07.1997 to acquire the running business of sun Ltd with effect from 01.01.1997. The following was the profit& loss account of the company on 31.12.1997.

Particulars	**Rs**	**Particulars**	**Rs**
To Office expenses	54,000	By Gross Profit b/d	2,25,000
To formation expenses (written off)	10,000		
To Stationary & postage	5,000		
To selling expenses	60,000		
To Directors fees	20,000		
To Net profit	76,000		
Total	**2,25,000**		**2,25,000**

You are required to prepare a statement profit earned by the Company in the pre and post incorporation periods. The total sales for the year took place in the ratio of 1:2 before and after incorporation respectively.

21. Nathiya Ltd is a company with an authorized capital of Rs.5,00,000 divided into 5,000 equity share of Rs.100 each on 31.12.2003 of which 2500 share were fully called up. The following are the balances extracted from the ledger as on 31.12.2003.

Trial balance of Nathiya Ltd

Debit		**Credit**	
Opening Stack	50,000	Sales	325000
Purchases	2,00,000	Discount received	31500
Wages	70,000	P&loss A/c.	6220
Discount Allowed	4200	Creditors	35200
Insurance (upto 31.03.2004)	6720	Reserves	25000
Salaries	18500	Loan from managing director	15700
Rent	6000	Share capital	250000
General Expenses	8950		
Printing	2400		
Advertisement	3800		
Bonus	10500		
Debtors	38700		
Plant	180500		
Furniture	17100		
Bank	34700		
Bad debts	3200		
Calls in arrears	5000		
	6,60,270		**6,60,270**

You are required toprepare profit& loss A/c for the year ended 31.12.2003 and a balance sheet as on that date. The following further information is given.

a) Closing stock was valued at Rs.1,91,500
b) Depreciation on plant at 15% and on furniture at 10% should be provided
c) A tax provision of Rs.8000 is considered necessary
d) The directors declared an interim dividend on 15.08.2003 for 6 month ending 30.06.2003.

22. Explain the procedure for reduction of share capital.

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